Text 1

Financial regulators in Britain have imposed a rather unusual rule on the bosses of big banks. Starting next year, any guaranteed bonus of top executives could be delayed 10 years if their banks are under investigation for wrongdoing. The main purpose of this "clawback" rule is to hold bankers accountable for harmful risk-taking and to restore public trust in financial institutions. Yet officials also hope for a much larger benefit: more long-term decisionmaking, not only by banks but by all corporations, to build a stronger economy for future generations.

"Short-termism" or the desire for quick profits, has worsened in publicly traded companies, says the Bank of England's top economist, Andrew Haldane. He quotes a giant of classical economics, Alfred Marshall, in describing this financial impatience as acting like "children who pick the plums out of their pudding to eat them at once" rather than putting them aside to be eaten last.

The average time for holding a stock in both the United States and Britain, he notes, has dropped from seven years to seven months in recent decades. Transient investors, who demand high quarterly profits from companies, can hinder a firm's efforts to invest in long-term research or to build up customer loyalty. This has been dubbed "quarterly capitalism." In addition, new digital technologies have allowed more rapid trading of equities, quicker use of information, and thus shorter attention spans in financial markets. "There seems to be a predominance of short-term thinking at the expense of long-term investing," said Commissioner Daniel Gallagher of the US Securities and Exchange Commission in a speech this week.

In the US, the Sarbanes-Oxley Act of 2002 has pushed most public companies to defer performance bonuses for senior executives by about a year, slightly helping reduce "short-termism." In its latest survey of CEO pay, The Wall Street Journal finds that "a substantial part" of executive pay is now tied to performance.

Much more could be done to encourage "long-termism," such as changes in the tax code and quicker disclosure of stock acquisitions. In France, shareholders who hold onto a company investment for at least two years can sometimes earn more voting rights in a company.

Within companies, the right compensation design can provide incentives for executives to think beyond their own time at the company and on behalf of all stakeholders. Britain's new rule is a reminder to bankers that society has an interest in their performance, not just for the short term but for the long term.

Text 2

Grade inflation —the gradual increase in average GPAs (grade-point averages) over the past few decades —is often considered a product of a consumer era in higher education, in which students are treated like customers to be pleased. But another, related force —a policy often buried deep in course catalogs called "grade forgiveness" —is helping raise GPAs.

Grade forgiveness allows students to retake a course in which they received a low grade, and the most recent grade or the highest grade is the only one that counts in calculating a student's overall GPA.

The use of this little-known practice has accelerated in recent years, as colleges continue to do their utmost to keep students in school (and paying tuition) and improve their graduation rates. When this practice first started decades ago, it was usually limited to freshmen, to give them a second chance to take a class in their first year if they struggled in their transition to college-level courses. But now most colleges, save for many selective campuses, allow all undergraduates, and even graduate students, to get their low grades forgiven.

College officials tend to emphasize that the goal of grade forgiveness is less about the grade itself and more about encouraging students to retake courses critical to their degree program and graduation without incurring a big penalty. "Ultimately," said Jack Miner, Ohio State University's registrar, "we see students achieve more success because they retake a course and do better in subsequent courses or master the content that allows them to graduate on time."

That said, there is a way in which grade forgiveness satisfies colleges' own needs as well. For public institutions, state funds are sometimes tied partly to their success on metrics such as graduation rates and student retention —so better grades can, by boosting figures like those, mean more money. And anything that raises GPAs will likely make students —who, at the end of the day, are paying the bill —feel they've gotten a better value for their tuition dollars, which is another big concern for colleges.

Indeed, grade forgiveness is just another way that universities are responding to consumers' expectations for higher education. Since students and parents expect a college degree to lead to a job, it is in the best interest of a school to turn out graduates who are as qualified as possible —or at least appear to be. On this, students' and colleges' incentives seem to be aligned.

Text 3

This year marks exactly two centuries since the publication of "Frankenstein; or, The Modern Prometheus," by Mary Shelley. Even before the invention of the electric light bulb, the author produced a remarkable work of speculative fiction that would foreshadow many ethical questions to be raised by technologies yet to come.

Today the rapid growth of artificial intelligence (AI) raises fundamental questions: "What is intelligence, identity, or consciousness? What makes humans humans? " What is being called artificial general intelligence, machines that would imitate the way humans think, continues to evade scientists. Yet humans remain fascinated by the idea of robots that would look, move, and respond like humans, similar to those recently depicted on popular sci-fi TV series such as "Westworld" and "Humans."

Just how people think is still far too complex to be understood, let alone reproduced, says David Eagleman, a Stanford University neuroscientist. "We are just in a situation where there are no good theories explaining what consciousness actually is and how you could ever build a machine to get there."

But that doesn't mean crucial ethical issues involving AI aren't at hand. The coming use of autonomous vehicles, for example, poses thorny ethical questions. Human drivers sometimes must make split-second decisions. Their reactions may be a complex combination of instant reflexes, input from past driving experiences, and what their eyes and ears tell them in that moment. AI "vision" today is not nearly as sophisticated as that of humans. And to anticipate every imaginable driving situation is a difficult programming problem.

Whenever decisions are based on masses of data, "you quickly get into a lot of ethical questions," notes Tan Kiat How, chief executive of a Singapore-based agency that is helping the government develop a voluntary code for the ethical use of AI. Along with Singapore, other governments and mega-corporations are beginning to establish their own guidelines. Britain is setting up a data ethics center. India released its AI ethics strategy this spring.

On June 7 Google pledged not to "design or deploy AI" that would cause "overall harm," or to develop AI-directed weapons or use AI for surveillance that would violate international norms. It also pledged not to deploy AI whose use would violate international laws or human rights.

While the statement is vague, it represents one starting point. So does the idea that decisions made by AI systems should be explainable, transparent, and fair.

To put it another way: How can we make sure that the thinking of intelligent machines reflects humanity's highest values? Only then will they be useful servants and not Frankenstein's out-of-control monster.

Text 4

States will be able to force more people to pay sales tax when they make online purchases under a Supreme Court decision Thursday that will leave shoppers with lighter wallets but is a big financial win for states.

The Supreme Court's opinion Thursday overruled a pair of decades-old decisions that states said cost them billions of dollars in lost revenue annually. The decisions made it more difficult for states to collect sales tax on certain online purchases.

The cases the court overturned said that if a business was shipping a customer's purchase to a state where the business didn't have a physical presence such as a warehouse or office, the business didn't have to collect sales tax for the state. Customers were generally responsible for paying the sales tax to the state themselves if they weren't charged it, but most didn't realize they owed it and few paid.

Justice Anthony Kennedy wrote that the previous decisions were flawed. "Each year the physical presence rule becomes further removed from economic reality and results in significant revenue losses to the States," he wrote in an opinion joined by four other justices. Kennedy wrote that the rule "limited states' ability to seek long-term prosperity and has prevented market participants from competing on an even playing field."

The ruling is a victory for big chains with a presence in many states, since they usually collect sales tax on online purchases already. Now, rivals will be charging sales tax where they hadn't before. Big chains have been collecting sales tax nationwide because they typically have physical stores in whatever state a purchase is being shipped to. Amazon.com, with its network of warehouses, also collects sales tax in every state that charges it, though third-party sellers who use the site don't have to.

Until now, many sellers that have a physical presence in only a single state or a few states have been able to avoid charging sales taxes when they ship to addresses outside those states. Sellers that use eBay and Etsy, which provide platforms for smaller sellers, also haven't been collecting sales tax nationwide. Under the ruling Thursday, states can pass laws requiring out-of-state sellers to collect the state's sales tax from customers and send it to the state.

Retail trade groups praised the ruling, saying it levels the playing field for local and online businesses. The losers, said retail analyst Neil Saunders, are online-only retailers, especially smaller ones. Those retailers may face headaches complying with various state sales tax laws. The Small Business & Entrepreneurship Council advocacy group said in a statement, "Small businesses and internet entrepreneurs are not well served at all by this decision."